AURAVANCE: RUPEE TERM LOAN / CREDIT FACILITY AGREEMENT (STANDARD FORM)

Standard Facility Agreement and Customer Terms No. AV-BNK-RTL-2026-001 | Effective 01 October 2026 | Next review 30 September 2027

Part A. Enterprise Metadata and Data Classification

Industry Pillar	Banking (lending, as a Non-Banking Financial Company)
Target Enterprise Document Type	Rupee Term Loan (RTL) / Credit Facility Agreement, standard form with co-lending and consortium schedule
Regulatory Framework	Reserve Bank of India Act, 1934 (Sections 45JA and 45L directions to NBFCs); RBI Master Direction on NBFCs - Scale Based Regulation (income recognition, asset classification and provisioning); RBI Digital Lending Directions (Key Fact Statement, cooling-off, grievance redressal); RBI Fair Practices Code and directions on penal charges and prepayment; SARFAESI Act, 2002, to the extent the Company is a secured creditor under it
Document Identification Code	AV-BNK-RTL-2026-001
Classification Level	Strictly Confidential
Issuing Entity	AuraVance Digital FinTech Private Limited (CIN U65110MH2026PTC384152; PAN AAACF2026N), registered office: AuraVance Tower, Bandra Kurla Complex, Mumbai, Maharashtra 400051; RBI Certificate of Registration as an NBFC No. N-13.02147 (illustrative)
Document Owner and Audience	Lending Products and Credit Policy. Used by relationship managers, credit officers, collections, compliance and legal teams; the Customer Terms extract (Parts B, C and E) is issued to every sanctioned borrower
Governing Law and Forum	Laws of India; courts at Mumbai and, where applicable, the Debts Recovery Tribunal, Mumbai

Part B. Applicability and Facility Variants

This standard form applies to every business Rupee Term Loan sanctioned by AuraVance Digital FinTech Private Limited (the Company), whether it lends alone, co-lends with a bank, or participates in a consortium. Each sanction letter names the Borrower, the facility variant, the internal rating grade and the pricing; where a sanction letter conflicts with this form, the sanction letter prevails.

Variant	Purpose	Ticket Size (INR cr)	Max Tenor	Moratorium	Repayment
Business Term Loan (Capex)	Machinery, equipment and expansion for MSMEs and mid-size businesses	0.25 to 10	7 years	Up to 12 months	Monthly or quarterly
Equipment Finance Term Loan	Purchase of specific equipment, which is hypothecated to the Company	0.10 to 5	5 years	Up to 6 months	Monthly
Working Capital Term Loan	Funding of permanent working capital	0.10 to 5	4 years	Up to 6 months	Monthly or quarterly
Consortium / Co-lending Facility	Where the Company lends together with one or more banks	Above 10	As agreed	As agreed	Quarterly

Part C. Preliminary Operational Framework and Pricing

1. Interest and Benchmark Tracking. Interest is floating and linked to the AuraVance Benchmark Lending Rate (ABLR), the Company's internal benchmark published on www.auravance.aura on the first working day of each month. The applicable rate is the ABLR plus the spread for the Borrower's rating grade (Table 1). The rate resets every twelve months on the anniversary of first disbursement; the spread changes only on a documented credit-risk review communicated in writing. Interest is calculated on the daily outstanding on an actual/365 basis.

2. Key Fact Statement and Cooling-Off. Before the agreement is executed the Borrower receives a Key Fact Statement (KFS) showing the annualised percentage rate (APR), every fee and charge, the repayment schedule and the grievance officer's contact details. The Borrower has a cooling-off period of 3 days from disbursement to exit by repaying the principal and the proportionate APR, with no penalty. Loans are disbursed to, and repaid from, the Borrower's own bank account directly; a lending service provider acts only as an agent and never holds the funds.

3. Security and Hypothecation. The Company takes a first-ranking exclusive charge by hypothecation over the assets financed, a first pari passu charge over current assets, and where the sanction requires an equitable mortgage over immovable property. The minimum security cover depends on the rating grade (Table 1) and is tested at each half-year end.

4. Co-Lending and Consortium. Where a facility is co-lent or syndicated with a bank, the bank's share is priced under that bank's own benchmark (its MCLR or external benchmark) and the Borrower is told the blended rate in the KFS. The Facility Agent named in the sanction holds the security as Security Trustee, shared pro rata to commitments; decisions reserved for the Majority Lenders require lenders holding at least 66.67 per cent of commitments.

5. Penal Charges and Prepayment. Non-compliance with material terms attracts penal charges of 2.00 per cent per annum on the overdue amount only; penal charges are not capitalised and carry no further interest. Prepayment of a floating-rate loan to an individual or a micro or small enterprise borrower carries no prepayment charge; for other borrowers, prepayment from internal accruals is free and prepayment funded by refinancing from another lender attracts a premium of 1.00 per cent of the principal prepaid.

Table 1. Pricing Grid by Internal Credit Rating Grade (illustrative, effective 01 October 2026; reviewed by the Asset Liability Committee).

Internal Rating Grade	Indicative One-Year PD Band	Spread over ABLR (% p.a.)	Processing Fee (% of sanction)	Min. Security Cover (times)	Sanctioning Authority
CR1	Up to 0.50%	1.10	0.25	1.00	Zonal Credit Head
CR2	0.50% to 1.00%	1.45	0.30	1.10	Zonal Credit Head
CR3	1.00% to 2.00%	1.85	0.40	1.25	Chief Credit Officer
CR4	2.00% to 4.00%	2.40	0.50	1.40	Chief Credit Officer
CR5	4.00% to 8.00%	3.10	0.60	1.50	Credit Committee of the Board
CR6	Above 8.00%	3.90	0.75	1.75	Credit Committee of the Board with full Board ratification

Part D. High-Density Data Grids

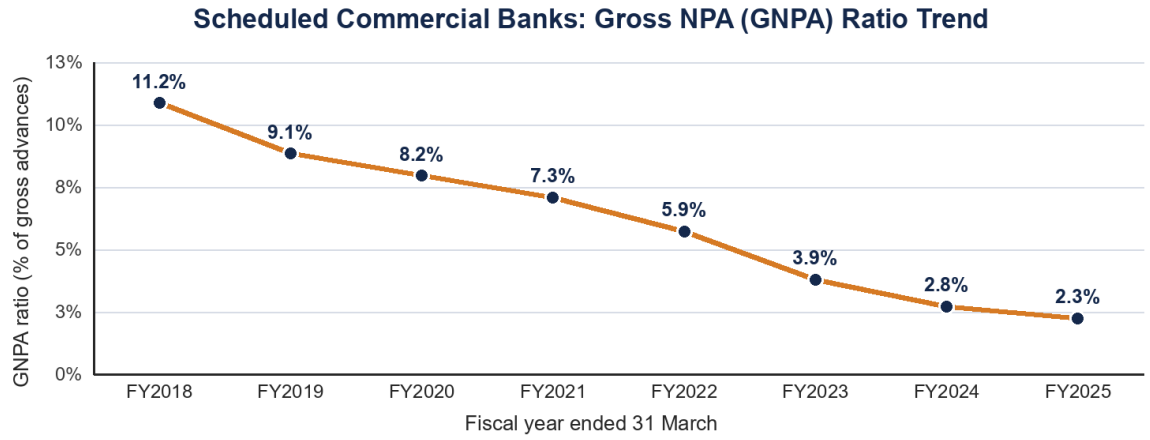
Table 2. Asset Classification and Provisioning Matrix used by the Company's credit risk team (illustrative INR 100 crore exposure, 70 per cent realisable security cover). It tracks repayment default windows against secured and unsecured provisioning percentages, following the RBI NBFC norms: 0.40 per cent on standard assets, 10 per cent on sub-standard assets, 100 per cent of the unsecured portion plus 20, 30 or 50 per cent of the secured portion on doubtful assets by age, and 100 per cent on loss assets. Where the Company applies Ind AS, it recognises expected credit loss and holds any shortfall against these regulatory floors in an impairment reserve.

Asset Category	Default / Ageing Window	Secured Portion (INR cr)	Unsecured Portion (INR cr)	Secured Prov. (%)	Unsecured Prov. (%)	Provision (INR cr)	Effective Prov. (%)
Standard asset	0 days past due	70.00	30.00	0.40	0.40	0.40	0.40
SMA-0 (special mention)	1 to 30 days	70.00	30.00	0.40	0.40	0.40	0.40
SMA-1 (special mention)	31 to 60 days	70.00	30.00	0.40	0.40	0.40	0.40
SMA-2 (special mention)	61 to 90 days	70.00	30.00	0.40	0.40	0.40	0.40
Sub-standard (NPA)	More than 90 days, NPA for up to 12 months	70.00	30.00	10.00	10.00	10.00	10.00
Doubtful D1	Doubtful for up to 1 year	70.00	30.00	20.00	100.00	44.00	44.00
Doubtful D2	Doubtful for 1 to 3 years	70.00	30.00	30.00	100.00	51.00	51.00
Doubtful D3	Doubtful for more than 3 years	70.00	30.00	50.00	100.00	65.00	65.00
Loss asset	Identified as uncollectible	70.00	30.00	100.00	100.00	100.00	100.00

Table 3. Worked Example: Business Term Loan of INR 5 crore, rating grade CR3 (spread 1.85 per cent), disbursed in full on 01 October 2026, 12-month moratorium, then 20 equal quarterly instalments of INR 0.25 crore from 31 December 2027. Interest is charged on the opening outstanding of each quarter at the applicable rate divided by four. The ABLR resets from 11.40 to 11.15 per cent on 01 October 2027.

Quarter Ended	Opening Outstanding (INR cr)	Principal Repaid (INR cr)	Closing Outstanding (INR cr)	ABLR (%)	Spread (%)	Applicable Rate (%)	Interest (INR cr)	Interest (INR)
31 Dec 2026	5.00	0.00	5.00	11.40	1.85	13.25	0.1656	16,56,250
31 Mar 2027	5.00	0.00	5.00	11.40	1.85	13.25	0.1656	16,56,250
30 Jun 2027	5.00	0.00	5.00	11.40	1.85	13.25	0.1656	16,56,250
30 Sep 2027	5.00	0.00	5.00	11.40	1.85	13.25	0.1656	16,56,250
31 Dec 2027	5.00	0.25	4.75	11.15	1.85	13.00	0.1625	16,25,000
31 Mar 2028	4.75	0.25	4.50	11.15	1.85	13.00	0.1544	15,43,750
30 Jun 2028	4.50	0.25	4.25	11.15	1.85	13.00	0.1462	14,62,500
30 Sep 2028	4.25	0.25	4.00	11.15	1.85	13.00	0.1381	13,81,250
Eight-quarter total	-	1.00	4.00	-	-	-	1.2637	1,26,37,500

Figure 1. Line chart: Scheduled Commercial Banks Gross NPA ratio, FY2018 to FY2025. X-axis: fiscal year. Y-axis: GNPA ratio in per cent of gross advances. The line falls from 11.2 per cent in FY2018 to 2.3 per cent in FY2025. The Company uses this banking-sector series, the asset quality of its co-lending and consortium partners, as the baseline when calibrating covenants and the pricing grid.



Approximate year-end values compiled from RBI Financial Stability Report editions; verify against the latest edition.

Figure 1 caption: Asset quality (GNPA) trend of Scheduled Commercial Banks across eight fiscal years.

Part E. Statutory Covenants, Regulatory Risk Framework and Audit Sign-Off

6. Financial Covenants. Throughout the tenor the Borrower shall maintain a Debt Service Coverage Ratio of at least 1.25 times (tested annually on audited accounts), Total Outside Liabilities to Tangible Net Worth of at most 3.00 times, a Current Ratio of at least 1.20 times and the minimum security cover of its rating grade. A breach not remedied within thirty days of written notice is an Event of Default.

7. Negative Covenants and Reporting. Without prior written consent the Borrower shall not create a further charge over the financed assets, change control, declare dividends while any dues are overdue, or divert funds from the stated purpose. The Borrower furnishes quarterly results within 45 days, audited accounts within 180 days and a monthly stock and book-debt statement within 15 days. The Company reports the account to the credit information companies as required and tracks Special Mention Account categories (SMA-0, SMA-1, SMA-2) for early warning.

8. Asset Classification. The Company classifies the facility under the RBI norms applicable to NBFCs. An account becomes a Non-Performing Asset when interest or an instalment of principal remains overdue for more than 90 days; income on an NPA is not recognised on an accrual basis. In a co-lending or consortium arrangement each lender classifies independently, and the more conservative classification is disclosed to the Facility Agent. Resolution of stressed assets follows the RBI framework, including the review period and, where required, an Inter-Creditor Agreement approved by lenders representing 75 per cent by value and 60 per cent by number.

9. Events of Default. (a) Non-payment of principal or interest within three business days of the due date; (b) breach of financial or negative covenants; (c) misrepresentation; (d) cross-default on other borrowings above INR 1 crore; (e) insolvency, winding up or proceedings under the Insolvency and Bankruptcy Code, 2016; (f) cessation of business or loss of material licences; (g) fall in security cover below the minimum without top-up within thirty days.

10. SARFAESI Act, 2002: Statutory Disclosures. Where the Company is a secured creditor under the Act, it may enforce security interest without the intervention of a court once the account is classified as a Non-Performing Asset. As a matter of its own policy the Company first issues a reminder and offers a meeting. (a) Under Section 13(2), a written demand notice calls upon the Borrower to discharge liabilities in full within sixty days; (b) on failure, the Company may exercise the measures in Section 13(4), including taking possession of secured assets, taking over management, appointing a manager, or requiring the Borrower's receivables to be paid to the Company; (c) where possession is resisted, the Chief Metropolitan Magistrate or District Magistrate assists under Section 14; (d) the Borrower's right to redeem the asset by tendering all dues ends on publication of the notice of sale, in line with Section 13(8); (e) a Borrower aggrieved by any measure may apply to the Debts Recovery Tribunal under Section 17 within forty-five days of the measure.

11. Statutory Overlay and Disputes. This Agreement is subject to the Reserve Bank of India Act, 1934 and to every direction and circular of the Reserve Bank of India applicable to NBFCs. In case of conflict the binding direction prevails and the clause is read down to that extent. Disputes are first referred to senior management of the Borrower and the Company within fifteen days, then to arbitration under the Arbitration and Conciliation Act, 1996, seated in Mumbai, without prejudice to the Company's statutory remedies.

Customer Grievance Redressal and Escalation Matrix

Level	Who to contact	How to reach	Resolution timeline
Level 1	Relationship Manager or Customer Care	App or email to your RM, or customer care 1800 000 1100 (24x7); care@auravance.aura	Acknowledged in 1 working day; resolved within 7 working days
Level 2	Grievance Redressal Officer (digital lending nodal officer): Rekha Balasubramanian	grievance@auravance.aura	Resolved within 10 working days
Level 3	Principal Nodal Officer: Vivek Anand Rastogi	pno@auravance.aura; AuraVance Tower, Bandra Kurla Complex, Mumbai, Maharashtra 400051	Final reply within 30 days of the complaint
Level 4	RBI Ombudsman (Reserve Bank - Integrated Ombudsman Scheme)	Online at the RBI complaint management portal (cms.rbi.org.in)	If unresolved within 30 days or the reply is unsatisfactory

Audit and Approval Sign-Off

Role	Name	Designation	Date	Signature
Head, Lending Products	Rajiv Narayanan Pillai	Senior Vice President	30 Sep 2026	_____
Chief Credit Officer	Farida Qureshi Hashmi	Chief Credit Officer	30 Sep 2026	_____
Chief Compliance Officer	Anand Subramaniam Rao	Chief Compliance Officer	30 Sep 2026	_____
Legal Counsel	Kavita Deshmukh Joshi	Head, Legal	30 Sep 2026	_____
Internal Audit Review	Sanjay Kulkarni and Associates	Chartered Accountants, Partner	01 Oct 2026	_____

AuraVance Digital FinTech Private Limited | CIN U65110MH2026PTC384152 | PAN AAACF2026N
Sample enterprise document prepared for RAG deployment. Figures are illustrative; replace with approved company data before production use.